

Moneylenders and Informal Financial Markets in Malawi

BRUCE R. BOLNICK*

*Harvard Institute for International Development, Cambridge and
Northeastern University, Boston*

Summary. — After a background review of the institutional financial services available to small and medium enterprises in Malawi, and a survey of the literature on Malawi's informal financial markets (IFMs), this paper presents a detailed report on the character and operations of a *katapila* moneylender in Lilongwe, Malawi. The moneylender market is then analyzed in terms of several themes from the literature on IFMs in less developed countries. For example, calculations show that the interest charges on *katapila* loans are not justified by economic costs of doing business. Finally, policy implications for promoting more efficient finance are discussed.

1. INTRODUCTION

Informal financial markets (IFMs) have gained respectability. Not long ago moneylenders were regarded as parasites who exploited impoverished peasants. Today one reads instead of how informal lenders provide efficient financial services to a broad clientele that is badly served by formal sector financial intermediaries (FIs). Fueling this transformation of opinion is a growing body of research¹ demonstrating that IFMs are less exploitative than formerly assumed, and indeed quite well suited to administering financial services in small doses. Research has established, too, that formal sector loan programs for "priority" groups such as small and medium enterprises (SMEs) are often costly failures, even to the point of undermining the financial health of the FIs involved.²

Until recently, research on IFMs largely bypassed Malawi. This paper fills a blank spot on the research canvas with a portrait of a *katapila* moneylender in Lilongwe. Also, the character of this loan market calls into question several common generalizations about IFMs in developing countries.

As background, Section 2 outlines Malawi's network of formal and semi-formal FIs, with a focus on services for SMEs. Section 3 surveys the sketchy literature on IFMs in Malawi. Section 4 presents empirical data on the urban moneylending business, based on two long and candid interviews with a "big man" professional moneylender. Section 5 analyzes the market in terms of some basic debates about the character

of IFMs. Among other things, there appear to be sizable monopoly rents in the *katapila* loan market, suggesting a severe lack of competition in serving the financial needs of large segments of the economy. Section 6 discusses what can be done to supply more efficient and effective financial services to entrepreneurs outside the narrow modern sector in Malawi. Section 7 offers concluding remarks.

2. FINANCIAL SERVICES FOR SMES IN MALAWI

(a) *Formal sector financial services for SMEs*

Although credit services command center stage in most discussions of financial markets, deposit services are at least as important. Borrowing may be imprudent for many SMEs, but virtually all can benefit from access to convenient, safe, and remunerative deposit facilities for storing liquidity and accumulating capital.³

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Malawi has a fairly well-developed infrastructure of deposit facilities serving economic centers where SMEs cluster. The most convenient deposit institution for most Malawians is the Post Office Savings Bank (POSB), which operates more than 280 savings windows throughout the country. The nation's two commercial banks have branches only in urban areas, but they operate agency offices in trading centers and send mobile units to roughly 100 rural "stopping points" at least once a fortnight. The mobile units handle deposits, but not loans. The New Building Society (NBS) also provides deposit services in major urban areas.

Given this deposit infrastructure, one might suppose that economic units having peak cash balances above some trivial threshold would use deposit accounts. In fact, only a minority of Malawian SMEs patronize these institutions.⁴ One contributing factor is that *ex post* real interest rates on savings deposits were negative throughout the 1980s.⁵ Also inhibiting patronage of institutional depositories are transaction costs (including time and travel costs), minimum balance requirements, withholding taxes (from which POSB accounts are exempt), withdrawal restrictions, and cultural factors. The latter include reluctance to record finances, and discomfort in dealing with formal institutions.⁶ Another reason SMEs and small savers may avoid formal deposit institutions is the absence of access to loans. Vogel and Burkett (1986) cite "reciprocity" as an important element in mobilizing savings.

With few exceptions, the only formal sector credit sources serving SMEs are two specialized, donor-supported nondepository FIs: INDEFUND and SEDOM. INDEFUND is a small development bank that serves medium-sized enterprises with loans ranging from \$11,000 to \$75,000 (using the 2.65 kwacha/dollar exchange rate prevailing in July 1989). INDEFUND is, however, a fairly low volume business. SEDOM, the Small Enterprise Development Organisation of Malawi, extends a larger volume of credit to SMEs in the form of miniloans ranging from roughly \$40 to \$1900, and term loans as large as \$28,000, along with management advice and procurement assistance. Because of its small average loan size, its burden of technical support, and a troublesome arrears problem, SEDOM has little chance to become self-supporting without major restructuring.

In summary, formal sector deposit services are widely accessible to SMEs, but not well patronized. On the other side of the ledger only one specialized (and subsidized) institution, SEDOM, generates a sizable volume of SME

loans. Many well-established, small-scale entrepreneurs with legitimate and productive credit needs — the tinsmith who could buy tin sheets in larger lots to reduce the cost of frequent trips to the supplier; the tailor who could buy bolts of cloth to prepare an inventory of ready-made clothes for the postharvest market; the rural trader who could profitably use a small pick-up truck or a bicycle — have had virtually no access to formal sector loans.

(b) *Semi-formal institutions*

The term "semi-formal" is used here to refer to grassroots financial networks supported by a formal institutional structure. In Malawi, three organizations fit this description: the MUSCCO credit union system, the National Rural Development Program (NRDP) of the Ministry of Agriculture, and the nascent Mudzi Fund.

MUSCCO⁷ is the national umbrella organization for an expanding system of local credit unions (CUs). Individuals who join a member CU build up credit ratings step by step, beginning (after six months) with short-term loans against their share-deposit balances. This process has been called a "ratchet" loan system (World Bank, 1989). Casual monitoring by MUSCCO officials suggests that loans are used primarily for productive purposes, most often for buying fertilizer. As of early 1990 the MUSCCO system had over 16,000 members with an average deposit balance of roughly \$60. CU share deposits bear an interest rate of only 5%, but deposits qualify members for loans and life insurance,⁸ each of which has a high shadow value for poor, liquidity-constrained Malawians. Overall, CU membership remains minuscule compared to the potential market for financial services,⁹ yet the system cannot grow hastily if prudential standards are to be maintained. Moreover, the staying power of local CU groups has yet to be demonstrated in Malawi.

The second source of semi-formal credit, the NRDP, provides in-kind loans through "farmers' clubs." These loans reach both farm and nonfarm enterprises through fungibility effects: farmers receiving NRDP loans can reallocate their own cash to nonfarm activities. Early farmers' club loan programs in Malawi were acclaimed as great successes (Schaefer-Kehnert, 1980). More recently, NRDP loans have been criticized for reaching only the top echelon of villagers, for heavy-handed foreclosure practices, and for inflexibility of the farm input package. For the 1988–89 crop season the program covered

285,000 families (23% of the smallholder farms) through 11,000 clubs.

The third semi-formal financial institution, the Mudzi Fund ("Village Fund"), is just moving off the drawing board. Modeled after the Grameen Bank in Bangladesh, Mudzi Fund village staff will organize very poor farmers into savings and credit groups of five people each.

In summary, semi-formal FIs are gradually penetrating the countryside with deposit and loan services packaged appropriately for SMEs and low-income households. Nonetheless, formal and semi-formal FIs, taken together, fall far short of serving the effective demand for financial services in Malawi. In view of evidence from countries such as South Korea and India, or Nigeria and Sierra Leone in Africa,¹⁰ the obvious question is whether informal markets satisfy the enormous residual demand.

3. INFORMAL FINANCIAL MARKETS

This section briefly outlines traditional debt relationships, as described by preindependence anthropologists and historians, and then surveys more contemporary accounts of IFMs in Malawi.

(a) *Traditional debt relationships*

The most thorough account of traditional debt in Malawi is van Velsen's (1964) work on the lakeshore Tonga people. In this culture half the bridewealth payments took the form of a promissory note (*kalata*) that was legally enforceable under traditional law. Typically this debt remained outstanding throughout the duration of a marriage, creating a social bond between families of the bride and groom. The debt could be forgiven if the marriage proved to be long and happy.

Van Velsen remarks (1964, p. 125) that bride-wealth debt was only one example of "the countless number of debt relationships between individuals and small groups." Like *kalata*, many debt claims remained dormant for long periods of time. Cash debts — often to finance trips to jobs in towns or in neighboring territories — bore a flat interest charge of 100%, with no fixed maturity. Exactly the same terms for cash debt are cited in Rangeley's (1948) discussion of traditional law among the Chewa. Rangeley adds that ambiguous maturity frequently led to litigation in Chewa courts.

Cash came into use in Nyasaland only in the

1890s, so traditional debts were extended and repaid in kind. Rangeley states that such debts (*ngongole*) bore no interest, except in special cases. In contrast, Chimango (1977) reports that loans of millet for brewing beer were traditionally repaid twofold. He notes that the "interest" charge was strictly a moral obligation associated with proper cultural behavior, whereas the debt principal was enforceable in traditional courts.

Chimango gives a detailed description of *kata-pila* loans. Traditionally, the term referred to loans cosigned by a third party, the *mboni* (witness). The interest charge was 100% over the life of the loan, which was subject to negotiation. *Katapila* loans, including the *mboni*'s contingent obligation, were enforceable under traditional law. Chimango also mentions in passing (1977, p. 83) "the problem of chronic indebtedness resulting from usury in the villages."

These references imply that debt relationships were commonplace in traditional Malawian society.¹¹ Only a single historical reference to deposit services could be found. Murray (1932, p. 293) noted that "both Government and principal missions provide savings bank facilities for natives." It is hard to imagine that such facilities were much used. Other sources suggest that Malawians routinely hoarded cash, even to the present day.

(b) *Contemporary studies*

If historical accounts are spotty, contemporary research on informal finance also leaves many gaps. An early sample survey of rural industry and commerce in Malawi by Wood and Robinson (1963) revealed that only 5% of African businesses could buy on credit (30-day terms) from suppliers. All others had to pay cash. Yet small businesses often extended credit to final consumers at zero interest. The same financial squeeze remained a fact of life for most Malawian SMEs in 1989.¹²

In a similar vein, a 1986 sample survey of more than 1,300 nonagricultural SMEs (READI, 1987) found self-finance to be the predominant source of funds for both start-ups and expansions. Fully 85% of the respondents started out with no external finance, even from relatives and friends. Only 3% of those reporting expansion used outside finance for this purpose. Nearly 70% identified lack of finance as the single major constraint facing their business.

In contrast to the Wood-Robinson report and the READI study, Chipeta and Mkandawire (1989) record a large volume of informal finance

in their preliminary analysis of a sample survey of 1,611 households. Common forms of informal finance include loans from employers, landlords, friends, and relatives. Most are short-term transactions at zero or near-zero nominal interest rates. Survey responses indicate that informal loans often finance business spending, including farm fertilizer purchases.

Evidence on the status of rotating savings and credit associations (ROSCAs) in Malawi is also mixed. One study (Reeser *et al.*, 1989) contended that ROSCAs are not typically found in Malawi. Another (Miracle *et al.*, 1980) cites the widespread presence of small ROSCA groups called *chilemba*, *chilyelano*, or *katapila*. The latter term, as seen above, actually refers to moneylending. Chipeta and Mkandawire identify the first two terms (as well as *chiperegani*) as traditional forms of cooperative consumption entailing reciprocal obligations. The practice has evolved into cash arrangements amounting to *ad hoc* ROSCAs, often involving just two partners and brief duration. The Chipeta/Mkandawire survey found a growing number of savings and credit associations (SCAs), a few of which generate income through lending to nonmembers on *katapila*-like terms.

Apart from SCA loans to nonmembers, the only significant source of arms-length informal credit found by Chipeta and Mkandawire was from *katapila* moneylenders. Most are farmers, salaried employees, or businessmen who lend money as a part-time side business. The distribution of interest charges was bimodal, with typical charges of 50% or 100% over the life of a loan (most often one month). Note that these are charges, not annualized rates of interest.

In summary, the evidence suggests that informal finance is commonplace in Malawi, and yet effective informal financial services are not readily available for SMEs. Many informal services found in other less developed countries (LDCs) — such as market banks, deposit collectors, finance companies, or pawnshops — are absent altogether. Most informal finance occurs between close associates. While clearly Pareto-superior to no finance at all, kith and kin loans or transient small-group arrangements are poor substitutes for financial markets, *per se*. Such arrangements are second only to pure self-finance in creating fragmented saving flows, and concomitant divergences in marginal productivity. In addition, where zero (or near-zero) nominal interest rates are charged, such finance does not screen out low-productivity allocations. The only widespread form of arms-length informal credit at positive real interest rates is the *katapila* loan market.

4. PORTRAIT OF A *KATAPILA* MONEYLENDER

This section presents findings from two extensive interviews with a full-time *katapila* moneylender, Mr. C. The initial interview was arranged by my driver, who had borrowed from the moneylender through a colleague at work. In view of Mr. C's reputation, the driver presumed that he operated openly and had no cause for secrecy. This assumption proved untrue. When I entered his three-room, cement-block home on the outskirts of Lilongwe, Mr. C. became visibly angered and distressed. Both the driver and I were interrogated heatedly in an atmosphere of considerable tension. Initially the moneylender refused to talk with me: he was a private businessman whose activities were of no concern to anyone else. Gradually, his anger subsided. Mr. C. settled into his old, soft chair, placed his bare, calloused feet on the coffee table, and began talking about his business.

This moneylender's "office" was the living room, which was just large enough for an old couch, two chairs, an old coffee table, and a wooden cabinet with a lock. One bare light bulb hung from the ceiling. His clothing, like the house, lacked ostentation. Mr. C, who is 64 years old, began moneylending on a part-time basis in Zomba, where he worked for 26 years as a cook for a prominent Englishman. After retiring in 1973 with a gratuity equivalent to just over \$1,000, he moved to Lilongwe and began lending professionally. Mr. C lends only his own funds.

Mr. C was reviewing his accounts when I first arrived. He hastily locked the records in a plain wooden cabinet, but later took them out to show me the extent of his business. Hundreds of entries were recorded on ordinary lined paper. Signed pledges for repayment were often written on scraps. Loans ranged in size from \$1 to \$1,000 (after converting kwacha values to dollars). Most were on the order of \$5–\$150; a rough estimate of the mean would fall in the lower-middle part of this range. Mr. C claimed to have a total of roughly 2,000 loans outstanding, with little seasonal variation. He handles this large volume by working 12 hours a day, six days a week, and by operating through agents located in workshops, markets, and offices throughout the city — including the banks and ministries. The agent network enables him to deal with as many as 40 clients with one visit. Adult children help with collections on debtors' paydays.

On the day of my first visit Mr. C had issued a K2,500 loan to a foreign embassy employee who had been referred by an agent. He proudly

displayed a letter, typed in English and stamped with the embassy seal, confirming the man's employment. In a second letter, typed in Chichewa, the borrower acknowledged the debt and promised to repay K3,500 with the provision that "if I do not repay in one month [Mr. C] will get my house" (translated by the driver).

Although unusual in size, the basic terms on this loan are standard: 1.4 times the amount borrowed is due to Mr. C in one month. With timely repayments and prompt turnover, these terms are equivalent to a gross return in excess of 5,000% per annum.¹³ Even impoverished mothers needing money to buy medicine for sick children pay the same charge. "After all," said Mr. C, "this is my business. No one expects me to give money away." The embassy employee's debt is also typical of *katapila* loans in that it is based on a written agreement. The heavy collateral is not typical, except on large loans.

If a borrower fails to repay on time, he or she is encouraged to work out the loan.¹⁴ Often a workout consists of full repayment using funds borrowed momentarily from a third party, followed immediately by a new loan large enough to repay the third party. This device permits Mr. C to compound his interest charges. When necessary the debtor can be sued. Even though the moneylender's business is unlicensed, the debt "contracts" are fully enforceable in traditional court, which operates in Malawi as a parallel system of justice. The legal procedure is inexpensive, quick, and effective. Moreover, because he holds signed promissory notes Mr. C always wins. Nonetheless he tries to avoid the court since hearings usually tie up a full day (mostly in waiting) that could be spent more profitably at work.

This enforcement system clearly holds down risk costs, but no quantitative loss estimates could be obtained. Even if ultimately bad debts are few, tardy repayments cost valuable time, and reduce the effective yield by retarding turnover of funds. In addition, the lender faces an associated risk that recalcitrant debtors could file charges of misdeeds, bringing unwanted attention from the police. Affluent debtors are more likely than poor debtors to threaten such complications. Although ultimately bad debts are few — Mr. C usually ends up getting what is due — loan collection is a major headache. Even so, many part-time moneylenders have entered the market, including salaried professionals. Now that borrowers see other places to turn for funds, collection problems have worsened.

Mr. C deals regularly with all types of customers, including office workers, poor families, manual workers, and small entrepreneurs. His

commercial customers include shopkeepers, garment makers, fishsellers, grocers, and vendors. Loans are used for buying food and clothing, for medical care, funerals, trips, and also working capital. When asked how a shopkeeper could make a profit on funds costing 40% per month, Mr. C simply replied that it was not his business to know.

Clearly, Mr. C does not have a direct personal relationship with many of his customers, unlike most informal lenders discussed in the literature. He does, however, exercise some selectivity. A major task of an agent is to screen customers. Mr. C may also refuse loans to people who have not repaid previous loans promptly, or who are known to be wasteful. Informal investigations are sometimes conducted through a network that includes three other prominent *katapila* moneylenders in the city. (Mr. C acknowledged being one of four "big men" lenders in Lilongwe, from his northern ethnic group.)

Even with this network, Mr. C is often unable to judge who is a good risk and who is a bad risk, in part because a person's behavior can change. One who formerly was a reliable customer may now have more children to feed, or business problems, or obligations to the extended family. It is difficult, he said, to trust anyone. Yet he affirmed confidently that his information was better than that of a bank.

In view of Mr. C's age and affluence, I inquired about why he continued working each day from dawn until dusk, rather than relaxing and enjoying his money. His long response boils down to a strong desire to accumulate wealth, on top of having 21 dependents who "can't keep money." How much has he accumulated? He owns three housing compounds (including his residence), a large portfolio of loans, and deposit accounts at two banking institutions. These holdings total over \$100,000, an enormous sum in Malawi. How profitable is moneylending? Efforts to pin down figures proved fruitless, but Mr. C affirmed with vigor that his moneylending was "a lot more profitable" than his rental properties. For comparison, local real estate experts reported that the repayment period on rental housing is 6–7 years, and that appreciation has averaged inflation plus 10% in middle-class township districts. These figures imply a real after-tax rate of return (since capital gains are untaxed) of about 25% per annum.

Asked whether he perceived himself as providing a valued service to his clients, Mr. C paused, as if he had never given this a thought, and responded with a wide grin: "I help them, and they help me." His emphasis was decidedly on the latter half of the declaration.

5. IMPLICATIONS FOR ECONOMIC ANALYSIS OF IFMs

This section assesses the *katapila* loan market in light of several controversies and stylized facts about IFMs in developing countries. Lacking solid data, the analysis is necessarily tentative.

Perhaps the major point of contention in the literature concerns justification for interest rates on IFM loans. Many observers explain high interest rates in terms of the economic costs of lending to very small borrowers, including administrative costs, risk costs, and the opportunity cost of funds (Long, 1968; Bottomley, 1975). In effect, lending rates are regarded as market-driven efficiency prices, given the information and enforcement constraints that characterize IFMs. A dissenting minority, following Bhaduri (1977), continues to view moneylender interest rates as monopolistic and exploitative.

The facts available here cannot support a precise computation of Mr. C's profits, but an illustrative calculation suggests that his interest charges are too high to be justified on the basis of economic costs. The methodology used here is to fill in data gaps and uncertainties with assumptions that exaggerate costs and understate revenues, and then to show that even under these favorable assumptions the efficiency-price hypothesis can be rejected.

Consider a *katapila* lender with a stable volume of 1,500 loans of \$25 each, due in one month with an interest charge of 40%. Assume that debts actually take three months to collect and roll over. Suppose, further, that the moneylender suffers a total loss of interest plus principal on 10% of each cohort of loans. The lender's gross receipts every three months total $(1.40) \times (1 - .1) \times \$37,500 = \$47,250$, or \$9,750 gross income (above return of principal). Without reinvestment and compounding, gross annual income totals \$39,000.

Against this revenue the lender's economic costs must be deducted. Note that losses on bad debts have been taken into account in calculating gross receipts. Suppose that the lender's time — including time spent on issuing new loans, managing active accounts, collecting maturing debts, and pursuing overdue payments — is valued at \$10,000 per year (an extremely high salary in Malawi).¹⁵ Administrative costs are minuscule; for present purposes assume \$500 per year. The annual cost of doing business, excluding the opportunity cost of capital, is then \$10,500.

Under these assumptions, the annual net profit is \$28,500. The corresponding nominal rate of return on initial capital equals 76% per annum, presumably untaxed.¹⁶ The inflation rate was

15.7% in 1989, implying an real rate of return for the hypothetical moneylender of 52%. If the real opportunity cost of capital is below 52%, the moneylender earns real economic profits. In fact Mr. C holds his wealth in bank accounts and rental properties. The former yield less than 15% per annum in nominal terms; the latter, as shown above, yield a real return of roughly 25%, or less than half the calculated return to the professional *katapila* moneylender.¹⁷

The moneylender's charges, therefore, do not seem to be justified in terms of the economic costs of doing business, even using assumptions that artificially exaggerate costs and understate revenues. Unless the *katapila* lender faces huge hidden costs or uncertainty premia (above and beyond bad debts and collection delays incorporated in the computation), he earns large monopoly rents. Regarding hidden costs, there is no indication that bribery payments are important, and in any case these are rent transfers rather than economic costs.

The monopoly-profit hypothesis is consistent, too, with the fact that Mr. C's charges have been invariant with respect to large changes in the rate of inflation, the health of the economy, and the availability of bank credit to the private sector. The price of *katapila* loans has not responded to shifts in supply and demand in the residual credit market, in a manner described by Roemer (1988) among others.

If this depiction is accepted, the puzzle is to explain how monopoly power can persist in this market, and why competition has not driven the price down to the economic cost of supplying credit. There are no obvious scale economies or economic barriers to entry. It is implausible to claim that few others have spare liquidity to lend; even a small stock of seed capital would mushroom quickly at prevailing rates of return. In addition, there is no indication that official repression or licensing restrictions have blocked entry. Indeed, Mr. C himself and Chipeta and Mkandawire (1989) report that the number of part-time lenders has grown rapidly in recent years. Judging from the sticky loan prices, however, growth in demand still outpaces supply.

A common tale in the literature is that monopoly power stems from market segmentation: lending is confined to highly localized social spheres, due to the lender's need for intimate knowledge of borrowers, for social leverage in lieu of collateral, or for opportunities to recover debt through interlinked contracts. In Malawi this tale has little relevance. Because informal debts are legally enforceable, urban moneylenders need not and do not restrict lending to a

narrow ring of clients with whom they have long-standing direct contacts.

In other respects, however, social relationships may help to explain the lack of competition in the *katapila* loan market. At work may be reputation effects and cultural attitudes regarding debt, including stigma attached to borrowing, and behavioral norms inhibiting "rude" actions needed to collect from borrowers. If so, borrowers would pay a premium to avoid embarrassing search costs and deal with a professional lender who has a reputation for confidentiality. Also, lacking a reputation for pursuing debtors, new lenders contesting the market would encounter much higher default rates than established lenders. In addition, established lenders are more likely to be repaid because borrowers can be confident of future access to their facilities. In short, monopoly profits may reflect *social* scarcity rents that newcomers cannot readily undercut.¹⁸ While intriguing, this cultural explanation is unsatisfying because similar stigmas and constraints are present in other countries where informal financial markets are far more competitive than in Malawi. Hence the puzzle remains unresolved as an issue for future research.

The *katapila* loan market also differs from the prototypical moneylender market in that it is not splintered among highly localized groups. Nevertheless the market is segmented in important respects. Lenders do not mobilize funds from the community, so there occurs no intermediation of the public's savings. There is also little intermediation of funds in this market across geographical areas.

One other characteristic of the *katapila* market warrants attention: loans to entrepreneurs. In the literature on IFMs, small enterprises are said to prefer borrowing from moneylenders because such loans can be arranged promptly, involve low transaction costs, and bear no restrictions on the use of funds. These attributes apply fully to the *katapila* market in Malawi. Yet it remains to be demonstrated that SMEs can finance productive investments using short-term loans at extremely high real interest charges.¹⁹ It is valid to presume that when small businesses borrow they expect a return in excess of the cost of funds. Yet it would be astonishing to find investments yielding a return of more than 40% per month in the normal course of business, given that most SMEs operate in intensely competitive industries. Moreover, at such high profit rates no business would remain small for very long. Lacking direct evidence, small business patronage of the *katapila* market is understandable only as a response to severe and temporary liquidity constraints, or fleeting opportunities.

While little is known about why SMEs borrow on very unfavorable terms, it is quite clear that a profitable market exists for loans bearing interest rates far higher than those currently charged by formal and semi-formal institutions in Malawi. Robust activity and high monopoly rents in the urban *katapila* loan market also imply that moneylenders face insufficient competition from alternative agents, be they formal or informal. Pending future research to the contrary, Malawi's IFMs appear to be severely underdeveloped in terms of mobilizing savings and allocating funds to productive investments.

6. IMPLICATIONS FOR POLICY

The absence of competitive, efficient, and well-integrated financial markets implies the loss of potential welfare, efficiency and growth. The vast majority of microenterprises and SMEs in Malawi appear to have limited access to financial services. A broad and vital set of markets is missing. Most informal finance takes place in extremely fragmented transactions at zero interest. *Katapila* lending is less fragmented but extremely expensive. Many other informal institutional options are absent altogether. But can anything be done to develop more effective deposit and loan services for small savers and borrowers? Experience in many countries demonstrates that small enterprises and low-income households can be much better served through either informal markets or innovative formal sector programs.²⁰

(a) *Promoting more efficient IFMs*

A basic lesson of experience in other countries is that informal financial markets tend to expand in response to repression of the formal market — but this is not a constructive basis for policy. A more positive policy proposal for promoting informal markets is to eliminate government restrictions hindering their growth. In Malawi, however, overt restrictions have not been a major factor explaining the embryonic state of the IFMs.

Given the inherently bureaucratic nature of government programs it is tempting to conclude that government can do nothing to foster informal markets beyond establishing a facilitating legal environment and then standing aside. I contend, however, that government can pursue limited, indirect actions to help nurture IFM development. As an example, the municipal authorities who regulate local markets could be

instrumental in establishing local market banks. The Ministry of Trade, Industry and Tourism and the Chamber of Commerce might cooperate in organizing workshops to address barriers inhibiting more widespread use of supplier credits (including the sensitive issue of communal distrust). At a minimum, the government can encourage informal financial markets by broadcasting information to potential financial entrepreneurs about the legal environment, business opportunities, and techniques for establishing informal saving and credit associations. These low-cost options can be pursued without introducing the heavy hand of bureaucracy into the informal market mechanism. Even such limited efforts to intensify competition and diversify IFMs will pay off if they help to promote more affordable and better integrated flows of informal finance for SMEs and low-income households.

(b) *Linking informal and formal markets*

An intriguing concept that has been on the table for discussion at least since 1973²¹ is to service small borrowers and savers by linking formal and informal financial markets. One proposal is for commercial banks to use informal lenders as agents, taking advantage of their low transaction costs, great flexibility, ready availability to borrowers, astute knowledge of local conditions, and recourse to social sanctions. Alternatively, an arrangement could be made to provide financial leverage and secure deposit facilities for informal groups or agents.

In many contexts formal-informal links appear spontaneously. Long before government credit programs were introduced in India, for example, a large volume of bank funds was being channeled to SMEs in Bombay through informal intermediaries (Timberg, 1979). Seibel (1988) reports finding links between informal deposit collectors and banks in West Africa. In many countries, credit from suppliers is routinely financed (at least indirectly) with bank loans or overdrafts. Even Mr. C, the *katapila* moneylender, stores liquidity in bank accounts.

It is hard, however, to find policy measures that led successfully to this end. A major effort in India in 1972 floundered when the Reserve Bank and traditional indigenous bankers could not reach an agreement on terms for channeling loan funds (Timberg, 1979, p. 20). The *World Development Report 1989* (World Bank, 1989, p. 119) recommends "building upon, not supplanting, the existing arrangements" found in LDCs, but the few examples cited therein entail little

more than upgrading ongoing savings and credit groups. The evidence suggests that it may be best to let links develop of their own accord, while directing scarce policy capacity to other programs for deepening financial markets.

(c) *Cost-effective institutional financial services for SMEs*

Efforts are underway in Malawi to develop credit unions, to improve the effectiveness of farmers' club loans, and to establish the Mudzi Fund as a bank for the rural poor. Programs are also in place to strengthen nonbank FIs such as SEDOM that specialize in SME loans. With the possible exception of farmers' club loans, these programs are nowhere near achieving either broad penetration of the market of self-supporting operation. In contrast, the commercial banks have both a physical presence that spans the country and a demonstrated capacity to stand on their own financial feet. The government's POSB has even a wider geographical presence. Innovative financial technologies might enable these institutions to serve the latent SME market effectively and profitably.²² Introducing formal sector competition into this market would also erode the monopoly power of the moneylenders, reducing the cost and augmenting the supply of credit throughout the economy.

Financial market interventions have earned a world-wide reputation for being counterproductive. Yet many analysts acknowledge the value of what Cho and Khatkhate (1989) call "market-promoting" interventions in countries where financial markets are poorly developed and noncompetitive. Measured interventions can help stimulate the innovations needed to service SMEs. For Malawi, one fundamental innovation would be simply to license new banks, to weaken the present duopoly. Beyond this, temporary subsidies and technical assistance can encourage pilot testing of innovative bank programs and underwrite the entry costs of learning and adjustment.

It is beyond the scope of this paper to examine in detail the possible innovations, but a few examples can be suggested. Commercial banks might explore risk-return tradeoffs in the market for "high" interest loans to nontraditional clients. They might experiment with "ratcheted" credit for small customers, where savers initially qualify for loans against deposit balances, and gradually work up to larger loans (emulating credit union procedures). Banks might try upgrading rural units into profit centers offering ratchet loans with highly simplified procedures, including the

use of local *mboni* witnesses as character references in lieu of collateral. Enhanced with loan functions, rural units could generate revenues and also (by offering reciprocity) attract more deposits. In addition, lending programs tied to government procurement can be developed, using escrow accounts to assure the timely release of government payments to SME suppliers.²³ One program in the works is the restructuring of the POSB as a regular financial intermediary. This institution could serve small clients with ratchet loans based on a minimum of paperwork.

Among others, Ashe and Cosslett (1989), Christen (1989), Pulley (1989), and Snodgrass and Patten (1989) provide insightful guidelines about how to make such programs work. A critical factor is that interest rates must cover variable costs, which requires a higher lending rate on small credits than on standard loans. For a loan program to penetrate the SME market it is essential, too, for procedures to be extremely simple, with repayments being motivated by the structure of the program rather than requiring costly supervision or heavy collateral. One design concept that has worked well in Indonesia is to levy an interest surcharge that is returned to the borrower upon satisfactory repayment.

Government-directed forced lending is not necessary and not constructive. Efforts to engage formal sector FIs in experiments to service the SME market are vastly more difficult if the FIs are reluctant partners. Moreover, nothing is gained in the long run by having bureaucrats usurp the responsibilities of the bankers.

7. CONCLUSIONS

Given the huge gaps in the network of institutional finance in Malawi, one would expect informal financial markets (IFMs) to be well developed. By all appearances, however, IFMs are quite rudimentary. Most small enterprises operate in a world not far removed from the textbook realm of pure self-finance. Further field study is needed, however, before firm conclusions can be drawn regarding IFMs and SME finance in Malawi.

The *katapila* moneylenders — the main focus of this paper — do not conform neatly to the profile of informal financiers described in other

countries. They charge interest rates that appear to be far higher than the economic costs of doing business, yet their contracts are enforceable in traditional court. They seem to earn large monopoly rents, even though the market has no overt entry restrictions, and close social ties to borrowers are not a prerequisite for lending. Overall, the evidence indicates a great need for more competition and diversity in the informal financial markets.

The role of government in this process is necessarily limited, but more can be done than simply letting the market work. "Market-promoting" interventions directed to formal sector institutions are likely to be most effective. Incentives and assistance can be provided to facilitate the testing of innovative programs to deliver low-cost financial services to nontraditional clientele.

Special efforts to develop Malawi's financial markets deserve a high priority precisely because these markets are so underdeveloped. Broader and deeper financial markets yield major gains by mobilizing and intermediating savings more efficiently. At the micro level, providing secure and remunerative deposit facilities for storing liquidity and accumulating savings will generate direct utility gains. With improved access to finance, entrepreneurs can take advantage of income-generating opportunities, and smooth out income fluctuations. Banks, too, can benefit from developing financial technologies to operate profitably in the large, latent SME market.

Two final remarks will help to place the discussion in perspective. First, the relationship between finance and development is interactive. Financial deepening works no magic unless it is supported by developments in the economy at large. Efforts to increase agricultural productivity, maintain incentives for efficient industrial growth, and improve education and training, *inter alia*, must underpin successful development.

Second, it must be kept in mind that credit is a double-edged tool. While loans can accelerate the development of small enterprises, they can also be a fatal burden when used indiscreetly. The goal, therefore, is not to extend credit to SMEs, but rather to make more widely available an efficient mix of competitive financial services — both deposits and loans — through financially sound formal, semi-formal, and informal institutions.

NOTES

1. The World Bank (1989) reviews this literature and provides an extensive bibliography.

2. This is not always so: "in some countries well-designed credit programs undoubtedly did improve

resource allocation" (World Bank, 1989, p. 58). Cho and Khatkhate (1989) find that interventions played a constructive role in South Korean development. Bolnick (1987) makes a similar case for Indonesia.

3. For example, Ashe and Cosslett (1989, p. 28), report that by the end of 1984 rural banks in Ghana served over 220,000 deposit customers, but fewer than 32,000 loan clients.

4. This observation is based on field interviews. Available statistics do not enumerate the number of accounts, let alone by type of depositor.

5. Formal interest rate controls were eliminated in 1988 as part of Malawi's structural adjustment program, but the Reserve Bank informally controlled rates until May 1990.

6. Shipton (1989) found that smallholders in the Gambia avoid formal sector deposit institutions in part because of an *illiquidity* preference. They prefer hiding assets in order to keep them out of the reach of relatives and friends without having to deny their loan requests. Any supposition that Malawians are simply too poor to save is refuted by the experience of institutions such as the Grameen Bank in Bangladesh and the Syndicate Bank in India (Timberg, 1988).

7. MUSCCO = Malawi Union of Savings and Credit Cooperatives. Information on MUSCCO is based on interviews with MUSCCO officials and on consulting reports for USAID.

8. The World Council of Credit Unions underwrites the life insurance policies, which pay beneficiaries twice the share balance of the deceased, plus the balance on outstanding loans. This is the only life insurance available to poor Malawians, so there is a major risk of adverse selection.

9. Approximately 17,000 Malawian enterprises hold business licenses in industry or trade, but crude estimates of the number as nonfarm SMEs run of nonfarm SMEs run as high as 182,000 (READI, 1987). Adding farm enterprises, the number of productive enterprises is well over one million.

10. See, for instance, Cole and Park (1983); Timberg and Aiyer (1984); Johnny (1985); and Onoh (1980).

11. Note, however, that reciprocal obligations are vital elements of traditional kinship and communal support systems. The term "debt," in its modern sense, oversimplifies and distorts the relationship. I thank Pauline Peters for this observation.

12. Source: field interviews. Informal trade credit appears to be more common within the Asian community. Concerning sales credit to consumers, widely divergent terms were reported. One source claimed that he paid a 50% premium to buy on credit; another cited an implicit charge of 5–10% relative to the cash price; a third stated that no markup is involved.

13. Loans issued through agents bear a 50% charge, with the added 10% accruing to the agent.

14. Mr. C did not elaborate on his recovery methods, but admitted that it often requires behaving rudely or harshly. An independent source alleged that strong-arm tactics are used, but this claim was firmly denied by every other person with whom the issue was discussed, including the driver. Harsh and rude behavior is a deviant social practice in Malawi.

15. For comparison: A Malawian with 20 years in the civil service, many years at senior executive levels, and an advanced university degree, informed me that his salary was under \$6,000 per year in 1990.

16. Allowing for quarterly plowback the figure becomes 111%. The calculation is: $P_{t+1} = (1.4) (.9) P_t - 2.625$, compounded four times, with $P_0 = 37,500$. Earlier versions of this paper (including my Employment and Enterprise Policy Analysis Discussion Paper No. 28, USAID, May 1990) used less severe assumptions that generated higher estimated returns.

17. A referee suggested that since borrowers find uses of funds worth 40% per month, the moneylender must have similar opportunities; hence this is the opportunity cost of funds. I reject this tautological argument. First, most demand is for exigencies, not productive investment. Mr. C does not face such exigencies. Second, while some borrowers have an acute commercial need for short-term funds — worth paying 40% per month — it does not follow that Mr. C can earn this high rate of return on a sustained basis in a next-best use of his funds. To expect that entrepreneurs routinely net 40% per month is absurd.

18. I thank Gilbert Lengu and Pauline Peters for insights on possible cultural barriers to entry. It is relevant here to recall that Mr. C and three other "big man" moneylenders are from a minority ethnic group in the north.

19. Of 1,300 nonagricultural SMEs surveyed in READI (1987) only three reported *katapila* loans for business investment. It is instructive to compare the *katapila* interest rate of 40% per month with the "high" interest rate policies in Indonesia on BKK loans (3.3% per month) and KUPEDES loans (1.5% per month on initial balances). See Patten and Snodgrass (1987).

20. See, for example, Timberg (1988), Bhatt (1988), Patten and Snodgrass (1987), Miracle (1980), Johnny (1985), and especially Ashe and Cosslett (1989).

21. See Miracle (1973), among other papers in AID's *Spring Review of Small Farmer Credit* (1973). More recent discussions include Seibel (1988) and Sanderatne (1989).

22. Programs in low-income communities in Indonesia (Patten and Snodgrass, 1987) and India (Bhatt, 1988), among others, demonstrate the potential for profitable bank lending.

23. Loan guarantee schemes have also been widely discussed, but the sobering survey of Levitsky and

Prasad (1987) invites deep skepticism.

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